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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Davos is the Herd

January 31, 2018

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Last Week's S&P 500 Index:
+2.2%

Key takeaways

- *Attendees at last week's annual World Economic Forum meeting in Davos were, not surprisingly, upbeat about the future direction of the economy and global financial markets.*
- *Just like everyday investors, these global "visionaries" can get caught up in the emotion of what has happened in the recent past and extrapolate that to the future.*

Global elites from the political, business, and entertainment industries descended on the tiny Swiss ski town of Davos last week for their annual schmooze-fest among the majestic snow-covered peaks in the Rhaetian Alps. Each year, the trials and tribulations of the global economy and its citizens are discussed and debated by just a small number of the earth's inhabitants. The goal? To encourage a world that is more "synchronized"—both economically and culturally—than it has been in the past. The global media typically spend many hours fawning over the attendees and discussing/examining their recommended cures for all that ails the rest of us.

Over the last 20 years or so, this get-together has been viewed by many as a meeting consisting of big thinkers with a tremendous ability to look ahead and visualize what the future might hold. Oftentimes this future will be molded, the attendees appear to believe, by what is discussed, proposed, and, potentially, implemented in the wake of this annual World Economic Forum. But just like most of the rest of us, emotions can run high, and opinions and outlooks many times appear to be nothing more than an extrapolation of what has happened in the recent past. And extrapolating into the future what has happened in the near-term past can oftentimes be a mistake.

In other words, if most of the major economies across the globe are clearly in decent shape (particularly the United States economy), then the vast bulk of the attendees is upbeat and predicting that good things will continue to happen in the future. On the other hand, if global economic uncertainty is high and future growth appears to be at risk, the mood is typically somber and cautious. An example from a past Davos gathering might help clarify this observation, at least in this strategist's opinion.

Let's take a trip back in time to the January 2010 World Economic Forum. As Bill Gates wrote at the time when talking about the gathering, "There was a mood of uncertainty I hadn't seen before. I believe it was the combination of doubts created by the economic downturn." This was from a person who many would consider one of the leading "visionaries" of all time (although, granted, not an economist). Indeed, one could say the average investor was feeling much the same way even though the S&P 500 had rallied from a low of 667 in March 2009 to 1,150 in the days just prior to the start of the annual event. Of course, the index had plunged in excess of 56% from its highs in early October 2007, which would shake the longer-term confidence of even the most experienced investor. The same type of ominous mood dominated Davos in 2017 as a change in American political leadership in the midst of a slow global economic recovery increased doubts as to what the future might hold.

Fast forward to last week. Quite predictably, the group of global dignitaries, in sharp contrast to 2017, was suddenly optimistic about the future after a year of robust global stock market gains and improved economic performance. Even the regulars at Davos get caught up in the emotion of the recent past and extrapolate that into the future. The bottom line? Unfortunately, Davos is the herd.

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